

Tentative Rulings for August 6, 2026 Department 7

**To request oral argument, you must notify Judicial Secretary
Crystal Marias at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 7 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

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- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
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- Meeting Number: **161 766 6465**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVRI2500801	GAUSE VS SARDONI	MOTION TO COMPEL FURTHER RESPONSES OF DEFENDANT THOMAS W. SARDONI TO FORM INTERROGATORIES BY JOSH GAUSE

Tentative Ruling: Hearing continued to 8/25/26.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2600408	OLIVEROS VS WORKFORCE MANAGEMENT GROUP INCORPORATED	MOTION FOR LEAVE TO AMEND COMPLAINT ON COMPLAINT FOR WRONGFUL TERMINATION (OVER \$35,000) OF ROKSANA OLIVEROS BY ROKSANA OLIVEROS

Tentative Ruling: Plaintiff Roksana Oliveros's ("Plaintiff") Motion for Leave to File a First Amended Complaint ("FAC") is granted. Plaintiff must separately file its FAC within 20 days of this ruling.

Under Code of Civil Procedure §§ 473(a) and 576, trial courts have broad discretion to allow a party to amend any pleading at any stage of the proceeding "in furtherance of justice". C.C.P. §473 authorizes the court to grant leave to amend any pleading "in furtherance of justice, and on such terms as may be proper." A motion for relief under CCP § 473 is addressed to the sound discretion of the trial court, and the exercise of that discretion will not be disturbed on appeal unless there is a clear showing that it was abused. (*Carroll v. Abbott Laboratories, Inc.* (1982) 32 Cal.3d 892, 897-898; *Record v. Reason* (1999) 73 Cal.App.4th 472, 486.)3.1324(b).

CCP §472 permits the amendment of any pleading once as a matter of course before the answer or demurrer is filed, or after demurrer and before trial. (*Gross v. Department of Transportation* (1986) 180 Cal.App.3d 1102, 1105.) Otherwise, amendment of any pleading requires prior order of court. CCP §473 provides that following a noticed motion, the court may allow an amendment to any pleading. CCP §473 and §576, and case law establish a "policy of great liberality in permitting amendments at any stage of the proceeding." (*Rocky Mountain Export Co. v. Colquitt* (1960) 179 Cal.App.2d 204, 207.) This policy is so strong that denial of a motion for leave to amend is rarely justified. (*Morgan v. Sup. Ct.* (1959) 172 Cal.App.2d 527, 530.) This policy is intended to allow cases to be decided on their substantial merits. Generally, it is an abuse of discretion to deny leave to amend if there is any reasonable possibility that a defect in the complaint can be cured.

The Court finds that Plaintiff has satisfied the procedural requirements of California Rules of Court, Rule 3.1324. Plaintiff's counsel submitted a supporting declaration specifying the effect of the amendments, why they are necessary, when the new facts were discovered, and why the request was not made earlier.

In her supporting declaration, Plaintiff's counsel, Andrea Diaz, details the specific grounds for seeking leave to amend the complaint, satisfying the procedural requirements of California Rules of Court, Rule 3.1324(b). The primary effect of the First Amended Complaint (FAC) is the addition of two new causes of action under the California Fair Employment and Housing Act (FEHA): Sex/Gender Harassment and Sex/Gender Discrimination, (specifically paragraphs 21 through 26) describing sexually explicit harassment Plaintiff allegedly endured from two coworkers, Rosa and Priscilla. (Diaz Decl. ¶3).

Counsel declares the amendments are necessary and proper because the new claims arise from the same employment relationship and the same course of unlawful workplace conduct already at issue in the original litigation. (Diaz Decl. ¶4). Permitting the amendment is intended to allow all of Plaintiff's related claims—including those regarding disability and wage-and-hour violations—to be adjudicated together. (Diaz Decl. ¶6).

Plaintiff did not seek leave to amend earlier because the supporting facts were developed in the course of the ongoing investigation post-filing, and Counsel maintains that they acted promptly once these facts were established. (Diaz Decl. ¶6). The proposed FAC adds two causes of action under the Fair Employment and Housing Act ("FEHA"): Sex/Gender Harassment and Sex/Gender Discrimination. These claims arise from the same employment relationship and the same general set of facts as the original Complaint. Because the amendments arise from the same course of unlawful workplace conduct already at issue, they are "necessary and proper" to allow for a full adjudication of the related claims in a single action.

The most critical factor in determining whether to grant leave is the existence of prejudice to the opposing party. The party opposing the amendment bears the burden of demonstrating "real prejudice". *Branick v. Downey Savings & Loan* (2006) 39 Cal.4th 235, 242; *Haley v. Dow Lewis Motors, Inc.* (1999) 72 Cal.App.4th 497, 506-507. Prejudice typically exists where an amendment would require delaying trial, result in the loss of critical evidence, or cause a significant increase in the burden of discovery on the eve of trial.

The Court finds Defendants' claims of prejudice unavailing, particularly given the early stage of these proceedings. This action is in its infancy. The original Complaint was filed on January 14, 2026, and the pleadings were only recently joined. There is currently no trial date set for this matter. Prejudice typically exists when an amendment requires delaying a trial or occurs on the "eve of trial." Defendants' claim of being "misled" or burdened is weakened by the fact that they will have a full and fair opportunity to conduct discovery directed specifically at the new claims. The initial Case Management Conference is not scheduled until August 24, 2026, and no discovery or motion cut-off dates have passed. Granting leave will not require a continuance and will not delay the resolution of the action. Defendants will have a full and fair opportunity to conduct discovery directed to the new claims.

Furthermore, any challenge to the legal sufficiency of the new claims is premature; the "preferable practice" is to permit the amendment and allow the opposing party to test the pleading's merits via a demurrer or motion for judgment on the pleadings. While Defendants argue that the new claims materially expand the scope of the case, California law establishes that a change in legal theory or the fact that an amendment might lead to a more favorable result for the Plaintiff does not constitute legal prejudice. Because there is no trial date and discovery remains open, any added cost of preparation does not constitute the type of prejudice that justifies denying a party the right to assert a meritorious cause of action.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2600657	WARD VS CITI GSM PORTFOLIO, LLC	MOTION TO QUASH SERVICE OF SUMMONS ON COMPLAINT FOR OTHER REAL PROPERTY (OVER \$35,000) OF CHANICE WARD BY CITI GSM PORTFOLIO, LLC, FAY SERVICING, LLC

Tentative Ruling: Defendants CITI GSM PORTFOLIO, LLC and FAY SERVICING, LLC ("Defendants") Motion to for an order quashing the purported service of the Summons and Complaint effectuated on May 29, 2026 is granted.

Order to Show Cause is set for 9/24/26 as to why sanctions not to exceed \$1,500.00 or dismissal should not be imposed for Failure to timely file proof of service ALL defendants on complaint pursuant to CRC 3.110(b & f) as to CHANICE WARD

The Court first notes that Plaintiff Chanice Ward ("Plaintiff") has failed to file any opposition to the instant motion [User Query]. Under California law, the failure of a responding party to file points and authorities in opposition to a motion may be considered by the court as an admission that the motion is meritorious.

Herzberg v. County of Plumas (2005) 133 Cal.App.4th 1, 20.

Under C.C.P., § 418.10(a), a defendant may file a motion to quash service of summons on the following grounds: (1) lack of jurisdiction; (2) inconvenient forum; or (3) dismissal pursuant to a delay in prosecution. When a defendant challenges the court's personal jurisdiction on the grounds of improper service of process, the plaintiff has the burden to prove the existence of jurisdiction by proving the facts requisite to an effective service. (*Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413). Without valid service of summons, the court never acquires jurisdiction over defendant. (C.C.P. § 418.10(a)(1); see *Kremerman v. White* (2021) 71 Cal.App.5th 358, 371 ["compliance with the statutory procedures for service of process is essential to establish personal jurisdiction."] A defendant is under no duty to respond in any way to a defectively served summons. It makes no difference that defendant had actual knowledge of the action. Such knowledge does not dispense with statutory requirements for service of summons and is not alone sufficient to confer jurisdiction. (*American Express Centurion Bank v.*

Zara (2011) 199 Cal.App.4th 383, 392; *Kappel v. Bartlett* (1988) 200 Cal.App.3d 1457; *Ruttenberg v. Ruttenberg* (1997) 53 Cal.App.4th 801, 808.)

When a defendant challenges personal jurisdiction based on improper service, the burden of proof rests entirely on the plaintiff to prove the facts necessary to establish an effective service. *Dill v. Berquist Const. Co., Inc.* (1994) 24 Cal.App4th 1426, 1439-1440. Compliance with statutory procedures is essential, as the court never acquires jurisdiction over a defendant without valid service of summons. C.C.P. § 418.10(a)(1); see *Kremerman v. White* (2021) 71 Cal.App.5th 358, 371.

The evidence presented by Defendants demonstrates that service was defective the Proofs of Service filed on June 9, 2026, indicate that service was attempted at 3333 Camino del Rio South, Suite 225, San Diego, CA 92108, which is the business address of Defendants' legal counsel, Aldridge Pite, LLP. For service on a limited liability company or corporation to be valid under C.C.P. § 416.10, it must be delivered to a designated agent for service of process or a high-ranking officer (such as a president or CEO). Defendant's counsel, Mari-Elizabeth Sanford, provided a declaration stating she is not the registered agent for Defendants and has never been authorized to accept service on their behalf. (Sanford Decl. ¶¶2-4).

This is the second instance in this litigation where Plaintiff has failed to effectuate proper service; a previous Motion to Quash was granted by this Court on May 18, 2026, for similar failures. (See court's 5/18/26 ruling on motion to quash).

4.

CASE #	CASE NAME	HEARING NAME
CVSW2305039	TEMECULA PETROLEUM INC. VS TEMECULA PREMIUM GASOLINE	MOTION FOR SUMMARY JUDGMENT ON CROSS-COMPLAINT OF LOFTALI SHIRMOHAMMADI
CVSW2305039	TEMECULA PETROLEUM INC. VS TEMECULA PREMIUM GASOLINE	MOTION FOR SUMMARY ADJUDICATION ON 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$25,000) OF TEMECULA PETROLEUM INC.

Tentative Ruling: Plaintiff's Motion for Summary Judgment/Adjudication on Complaint is denied.

Cross-Defendants Susan Refahiat and Station Sales, Inc.'s Motion on Cross-Complaint's Summary Judgment/Adjudication on Cross-Complaint is granted as to the first, second, third, fourth, fifth, eighth, and ninth causes of action.

Summary judgment is granted when a moving party establishes the right to entry of judgment as a matter of law. (CCP § 437c(c).) The moving party bears the initial

burden of production to make a prima facie showing that there are no triable issues of material fact. (CCP § 437c(p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

Defendant, as the moving party, has the burden to show either that one or more elements of the cause of action cannot be established or that there is a complete defense to that cause of action. (CCP §437c(p)(2).) Defendant can meet their burden by showing either: (1) affirmative evidence that shows an element of the claim cannot be established; or (2) showing an absence of evidence on a critical element of Plaintiff's claim.

Where Plaintiff seeks summary judgment, the burden is to produce admissible evidence on each element of a cause of action entitling plaintiff to judgment. (CCP §437c(p)(1).) It is not plaintiff's initial burden to disprove affirmative defenses and cross-complaints asserted by defendant. (See CCP §437c(p)(1); *Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468.)

Once the moving party has made such a showing, the burden shifts to the responding party to show that a triable issue of one or more material facts exists as to that cause of action or as to a defense to the cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.) If the responding party does not make such a showing, summary judgment in favor of the moving party is appropriate.

"The purpose of the summary judgment procedure is not to try the issues but merely to discover ... whether the parties *possess evidence* which demands the analysis of trial." (*Colvin v. City of Gardena* (1992) 11 Cal.App.4th 1270, 1275 (italics added).) Summary judgment can be granted only where the essential facts are either conceded or beyond dispute. If there is one single material fact in dispute, the motion must be denied. The court also has the power to summarily adjudicate that one or more causes of action have no merit, that there is no merit to one or more affirmative defenses, or that a defendant owed or did not owe a duty to plaintiff. A motion for summary adjudication shall only be granted if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (CCP §437c(f)(1).)

PLAINTIFF'S MOTION ON COMPLAINT

TPI clarifies it brings the instant motion to the following claims: (1) specific performance; (2) breach of contract; (3) breach of the covenant of good faith and fair dealing; and (7) declaratory relief.

TPI asserts its current counsel was substituted in after the TAC was filed. TPI "lacks a complete file of prior proceedings and sought summary judgment only on active claims, listing all causes of action out of an abundance of caution." (Reply p.6, fn. 1.) Accordingly, the court will now only address the first, second, third, and seventh causes of action.

Breach of Contract (2nd COA)

“A cause of action for breach of contract requires pleading of a contract, plaintiff’s performance or excuse for failure to perform, defendant’s breach and damage to plaintiff resulting therefrom.” (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal. App. 4th 1004, 1031.) Plaintiff’s claim is based on Defendants’ failure to disclose the sublease as required by the (Business Purchase Agreement) BPA and (Real Property Sale Agreement) RPSA and corresponding failure to deliver the business as promised.

It is undisputed that the parties entered into two contracts: (1) on February 24, 2023, TPI and TPG entered into the BPA for TPI’s purchase of the business assets for \$2,750,000; and (2) on the same day TPI and (SBRK Investment LLC) SBRK entered into the RPSA for TPI’s purchase of the property for \$10,250,000. (UMF Nos. 1-2.) Plaintiff has established the first element of this claim.

Plaintiff must prove it performed its own obligations under the contract or was excused from doing so. (*Wall Street Network, Ltd. v. New York Times Co.* (2008) 164 Cal.App.4th 1171, 1181.) The parties agree TPI timely deposited \$200,000 with escrow in compliance with the BPA and \$300,000 in compliance with the RPSA, for a total deposit of \$500,000. (UMF No. 3.) The parties agree on April 30, 2023, TPI sent the “Buyer’s Approval Notice” to TPG and SBRK stating and affirming TPI was ready to proceed with the sale. The Notice included the following language: “TPI expressly disapproves and rejects the sublease agreement between Temecula Premium Gasoline and Hossein Shirmohammadi related to and affecting both the Business and Real Property.” (UMF No. 18.)

The parties do not agree about whether TPI performed all material conditions, covenants, and obligations required of it under the BPA and RPSA. (UMF No. 21.) Defendants argue Plaintiff’s “Approval Notice” expressly rejected the sublease and imposed conditions not required or permitted by the PSAs. Since Plaintiff never delivered a compliant approval notice, Defendants argue Plaintiff did not perform all of its obligations under the agreements.

The BPA sets forth the procedure for Plaintiff to close the sale under the agreement: “If Buyer determines in its sole and absolute discretion that the Business are acceptable, Buyer may proceed to Closing under this Agreement by delivering written notice of such acceptance to Seller (the “Approval Notice”) on or prior to the expiration of the Due Diligence Period, such to the [Right of First Refusal] Contingencies set forth below.” (Ex. A §3(c).) The ROFR provision indicates the agreement “may be subject to several third-party rights of first refusal (“ROFR”) potentially held by Sinclair Fuels, Circle K and Krispy Krunchy Chicken.” Defendants agreed to tender the agreement to those parties to evaluate any potential ROFR they held. The parties agreed “in the event that any third party holding a ROFR exercises its ROFR as to the Assets” the BPA would terminate. (Ex. A §3(d).) The RPSA sets forth an identical procedure for Plaintiff to close the sale under the agreement. (Ex B §3(c) & (d).)

It is Plaintiff's burden to produce admissible evidence on each element of a cause of action entitling plaintiff to judgment. (CCP §437c(p)(1).) To initiate closing under both contracts, Plaintiff needed to deliver written notice of its acceptance to Defendants before the end of the Due Diligence Period. (SUMF No. 19.) Plaintiff provides evidence it sent written notice to Defendants that it "conditionally approve[d] the purchase" of the business and real property and was "ready to proceed with consummation of the sale." (SUMF No. 18.) However, Plaintiff's written notice also included an express disapproval and rejection of the sublease agreement between TPG and Hossein S. TPI also rejected Defendant's "unilateral cancellation and closure of the Krispy Krunchy Chicken restaurant franchise, which was expressly identified business asset to be purchased by TPI as part of the negotiated purchase agreement." (SUMF No. 18.) Plaintiff does not present any evidence that this written notice constituted compliance with the Approval Notice provisions of the contracts. Javid Kazi, President and CEO of TPI, provides a copy of the Approval Notice and notes "TPI expressly disapproved of and rejected the previously undisclosed Sublease." (Kazi Decl. ¶27.) It is not clear from the language of the contracts that an acceptance *coupled with rejections* complied with the requirement to provide a written Approval Notice to Defendants.

TPI argues the agreements required Defendants to deliver the business and property free of undisclosed leases (SUMF Nos. 8-9) and identified the franchise as a business asset to be delivered at closing (SUMF No. 1). TPI argues its "rejection of an untimely disclosed and fraudulent sublease and unilaterally cancelled franchise accorded with the agreements' terms." (Reply p.10:10-11.) Plaintiff clearly was within its right to reject the contract as a whole because of the sublease and cancelled franchise accord. The issue is whether Plaintiff's written notice that it wished to close on the deals but rejected the sublease and cancelled franchise accord constituted the required Approval Notice under the terms of the contract. Plaintiff has not offered any evidence that its written notice complied with the contractual requirements to provide an Approval Notice under section 3(c). (Exhibits A & B §3(c).)

Since Plaintiff has not met its initial burden to establish all elements of the breach of contract claim, the motion must be denied.

Specific Performance (1st COA)

By seeking specific performance a party affirms the contract and asks that it be performed. (Civil Code §1680.) All of the following requirements must be satisfied in a buyer's suit to compel the seller to perform under a real property purchase agreement: (1) a money damages award will not adequately compensate the buyer for the seller's breach; (2) the seller will receive adequate consideration; (3) the contract is just and reasonable and would not subject the seller to undue hardship; (4) the contract terms are sufficiently certain and enforceable such that a court can determine with reasonable precision the act required to be performed by each party; (5) the performance ordered by the court will be substantially similar to the performance required by the contract; (6) the contract is not illegal or the result of fraud, unfair practices or mistake; (7) the buyer has performed or tendered performance under the contract; and (8) the performance required does not demand multiple acts by the parties over an extended period of time or other complicated performance that would make the court's supervision of its order

impractical or impossible. (See generally, Civil Code §§3384-3395; *Blackburn v. Charnley* (2004) 117 Cal.App.4th 758, 766.)

Plaintiff seeks the following specific performance: an order compelling Defendants to transfer the Property and Business Assets to TPI in the condition represented in the BPA and RPSA and pursuant to the required Due Diligence Document disclosures, free and clear of the undisclosed sublease, and at the agreed-upon purchase prices. (TAC ¶¶44.) Plaintiff notes it pleads breach of contract in the alternative to the specific performance claim and believes legal remedies are inadequate given the unique nature of the real property at issue. (Mot. p.18:8-10.)

Importantly, specific performance is one of the remedies available to a buyer when a seller breaches an agreement to sell real property. To be entitled to specific performance, Plaintiff must first prove the underlying breach. As discussed above, Plaintiff did not meet its initial burden to demonstrate it performed under the terms of the contracts. The court or other trier of fact cannot determine whether Defendant breached the agreement without first determining if Plaintiff's actions constituted performance of their requirements under the agreement. Since Plaintiff did not meet its initial burden on the breach of contract claim, it has not met its burden on its request for specific performance either.

Breach of the Covenant of Good Faith and Fair Dealing (3rd COA)

"The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made." (*Guz v. Bechtel National, Inc.* (2000) 24 Cal. 4th 317, 349-350.) The covenant cannot exist independent of the contractual terms. (*Ibid.*) To be implied,

(1) the implication must arise from the language used or it must be indispensable to effectuate the intention of the parties; (2) it must appear from the language used that it was so clearly within the contemplation of the parties that they deemed it unnecessary to express it; (3) implied covenants can only be justified on the grounds of legal necessity; (4) a promise can be implied only where it can be rightfully assumed that it would have been made if attention had been called to it; (5) there can be no implied covenant where the subject is completely covered by the contract.

(*Third Story Music, Inc. v. Waits* (1995) 41 Cal. App. 4th 798, 804.) To establish this claim, Plaintiff must prove: (1) that Plaintiff and Defendant entered into a contract; (2) that Plaintiff did all, or substantially all of the significant things that the contract required to do; (3) that all conditions required for Defendant's performance had occurred or were excused; (4) that Defendant did not act fairly or in good faith by interfering with Plaintiff's right to receive the benefits of the contract; and (5) Plaintiff was harmed by Defendant's conduct. (CACI 325.)

Once again, the same issue exists because Plaintiff has not met its initial burden to show it did all or substantially all of the significant things the contract required it to do.

Plaintiff has not established that the written notice it provided to Defendants complied with the Approval Notice requirements in the contracts. Without meeting this initial burden, Plaintiff cannot be successful on its motion for summary judgment.

Declaratory Relief (7th COA)

Any person interested under a contract may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an action for declaration of his rights and duties including any question of construction or validity arising under the contract. (CCP §1060.) “Declaratory relief operates prospectively, serving to set controversies at rest...where there is an accrued cause of action for an actual breach of contract or other wrongful act, declaratory relief may be denied.” (*Osseous Technologies of America v. Discovery Ortho Partners* (2010) 191 Cal. App. 4th 357, 366 (citing 5 Witkin, Cal. Procedure (5th ed. 2008) Pleading, §869, p.284).) This cause of action is derivative of Plaintiff’s other claims. Since those claims fail on summary judgment, so too does this claim.

CROSS-DEFENDANT’S MOTION ON CROSS-COMPLAINT

In 2022, (Temecula Premium Gasoline)TPG and (SBRK Investment LLC) SBRK decided they wanted to sell the assets in question. In July 2022, TPG and SBRK hired Susan Refahiat and Station Sales, Inc. to help them find a buyer. (SS No. 10.) Lotfali Shirmohammadi, TPG’s vice president and TPG and SBRK’s director, told Refahiat they wanted to sell the assets for \$13 million. (SS No. 14.) Refahiat is a licensed real estate broker who does business through her wholly owned entity, Station Sales, Inc. (SS No. 31.)

Refahiat did not list the property for sale but instead contacted some of her own clients. First, she contacted client Sal Hassan who agreed to pay \$13 million for the property. However, TPG and SBRK did not want to do business with Mr. Hasan, so the deal did not move forward. (SS No. 40.)

Refahiat then contacted her client Javid Kazi, principal of (Temecula Petroleum, Inc.) TPI. (SS No. 16.) Kazi also agreed to purchase the property for \$13 million. (SS No. 41.) The parties moved forward with the sale. Refahiat and Station Sales acted as a dual broker for the transaction. (SS No. 43.) This was recited in the purchase agreements and escrow instructions. (SS Nos. 44-45.) Both buyer and seller were represented by separate legal counsel. (SS No. 2.)

The agreements included various provisions relevant to the instant motion: (1) “Buyer and Seller hold Broker harmless for any claims of misrepresentation by Buyer against Seller or Seller against Buyer;” (2) To the best of Seller’s actual knowledge, Seller has no material obligations or liabilities of any kind...which would have a material adverse affect on the Assets or their use and operation by Buyer...;” and (3) “Seller is the owner of, and holds good and marketable title to, the Assets and shall convey title to the Assets to Buyer free and clear of any and all liens and encumbrances except the Exceptions approved or deemed approved by Buyer pursuant to this Agreement.” (SS No. 19.)

The sale never went through as TPG disclosed the existence of a previously unknown sublease agreement between TPG and Lotfali Shirmohammadi's brother. (SS No. 21.) The sublease agreement gave Shirmohammadi's brother a possessory right over a part of the property for ten years with two additional five-year options at a rental rate starting at \$2,500 per month along with purchase option and right of first refusal. (SS No. 21.) The document purports to have been signed on November 12, 2021. (SS No. 21.) TPG believed the buyer should have to honor the lease or pay to buy out the interest. (SS no. 22.) TPI refused to acknowledge the sublease and the deal never closed. TPG and SBKR allege Susan, acting through Station Sales, misrepresented, omitted, or concealed various facts, including her experience, the reasonable sale price for the properties, her intent to market the properties, her prior relationship with Kazi, among others. (Cross Complaint ¶93.) Cross-Complainants allege Susan breached her fiduciary duty to TPG and SBRK. The fourth cause of action for intentional interference with prospective economic advantage alleges Susan knew by entering into the agreements, it would prevent Cross-Complainants from marketing or selling the properties to other potential buyers and would cloud title to the properties. (CC ¶120.) Negligent interference with prospective economic relations is plead in the alternative. (CC ¶126.) Cross-Complainants also allege unlawful business practices against Refahiat and Station Sales and seek declaratory relief that the purchase and sale agreement is void for fraud, misrepresentation, and/or mistake.

Objections

Cross-Defendants object to the declarations of Donald G. Strenk, Jon A. Atabek, and Lotfali Shirmohammadi filed in support of the Opposition. Plaintiff seeks to join in these objections by way of the joinder filed on July 29, 2026.

Cross-Defendants make 5 objections (nos. 1-5) to the declaration of Donald G. Strenk. Cross-Defendants object that Strenk is not qualified to comment on the standard of care for a real estate broker. Court declines to rule.

Cross-Defendants make 5 objections (nos. 6-10) to the declaration of Jon A. Atabek. Cross-Defendants object relevance and hearsay to exhibits offered by Cross-Complainants in Opposition to the motion. Court declines to rule.

Cross-Defendants make 4 objections (nos. 11-14) to the declaration of Lotfali Shirmohammadi. Cross-Defendants challenge various statements as irrelevant and hearsay. Court declines to rule on objections 11-13.

Objection 14 challenges Shirmohammadi's statement that he received an inquiry from the owner of a neighboring gas station regarding whether he would consider selling the gas station for \$15,000,000. (Shirmohammadi Decl. ¶29.) Cross-Defendants argue this is hearsay because it is offered to prove the truth of the matter – that Shirmohammadi received an inquiry for a sale price of \$15,000,000. This objection is sustained.

Waive Privilege

Cross-Defendants first argue Cross-Complainants have refused to permit discovery into alternative causation for the damages they assert. Specifically, Cross-Complainants have asserted privilege over the timing and authorship of the sublease that led to the transaction not closing. This argument is not supported by a declaration explaining the nature or circumstances under which Cross-Complainants have asserted privilege. Other than referencing the deposition transcripts where privilege was asserted, Cross-Defendants do not provide any detail regarding what documents/information they sought but were unable to obtain because Cross-Complainants asserted a privilege. The court is unable to evaluate whether Cross-Defendants were improperly deprived of an opportunity to conduct discovery without more information.

Damages

Cross-Defendants also argue Cross-Complainants have not been damaged by Refahiat or Station Sales. Cross-Defendants argue TPG and SBKR have not lost any assets as they still own the properties at issue. Cross-Defendants argue TPG and SBKR were not damaged by entering into contracts to sell the assets. Cross-Defendants argue they are not at fault for Cross-Complainants having to defend themselves in the underlying action brought by TPI because Cross-Complainants were sued based on their own representations and not because of anything Cross-Defendants did. Finally, Cross-Defendants argue the language of the agreements agreed to hold Refahiat harmless for any claims of misrepresentation by Buyer against Seller or vice versa.

In support of this argument, moving party asserts SBRK still owns the real property and TPG still owns the business. (SS No. 27.) Cross-Defendants do not dispute this. (Response to SS No. 27.) This establishes TPG and SBRK have not been damaged by losing the assets as they still own the assets.

TPG and SBRK allege they lost other potential sale and business opportunities due to the cloud over the business and property caused “by the fraudulently induced sales transaction.” (CC ¶117.) Cross-Complainants acknowledge Cross-Defendants never received an offer to purchase the property for \$15,000,000. (Response to SS No. 28.) Cross-Complainants assert they received an “informal inquiry from a neighboring gas station owner regarding whether Cross-Complainants would consider selling the gas station for \$15,000,000.” (Response to SS No. 28.) Lotfali Shirmohammadi admits this was “not a formal offer to purchase, but only an informal inquiry.” (Shirmohammadi Decl. ¶29.) As noted above, this evidence is objectionable hearsay and should not be admitted. However, even if the court were to consider this evidence, it is not evidence that the parties received an offer to purchase the property at that price and so it does not support their claim for damages. Cross-Complainants acknowledge the firm NuMark appraised the gas station assets at \$12.4 million. (Response to SS No. 20.)

Cross-Defendants argue it is purely speculative whether TPG and SBRK lost other potential sale opportunities. “[S]peculation cannot create a triable issue of material fact.” (*McHenry v. Asylum Entertainment Delaware, LLC* (2020) 46 Cal.App.5th 469, 479.) In support of the motion, Cross-Defendants have presented evidence that TPG and SBRK

did not have another offer to purchase the property and the only appraisal of the property put the value at \$12.4 million, which is within the range of the price Buyer and Seller contracted for. This meets Cross-Defendants' initial burden. In Opposition, Cross-Complainants do not offer any evidence that they had other offers to purchase the property. They offer the declaration of Donald G. Strenk, President of Strenk Management Consulting, LLC who has more than "forty years of experience in the petroleum marketing, convenience store, and gas station industries, including valuation, acquisition, management, marketing, and disposition of gas station assets." (Strenk Decl. ¶2.) Strenk's opinion is that in spring 2023 the property's value was at least \$16.5 million and likely within a range of \$16.5 million to \$18 million. (Strenk Decl. ¶12.) Strenk does not testify that there were any potential buyers willing to pay that amount for the property. Strenk's declaration does little more than buffer Cross-Complainant's speculation that they could have maybe sold the properties to a different buyer for more money. Without evidence that they lost out on a different potential sale, Cross-Complainants have not provided any triable issue of material fact as to this issue of damages.

Cross-Complainants allege they have been damaged by incurring attorney fees associated with the underlying claims brought by TPI "caused by the torts of Susan and Sean." (CC ¶117.) In support of the motion, Cross-Defendants reference the Third Amended Complaint (TAC) and state the "bases asserted by TPI for its claims against TPG and SBRK are misrepresentations of fact by TPG and SBRK." (SS No. 25.) Cross-Complainants note the court dismissed Plaintiff's misrepresentation-based claims. (Response SS No. 25.) Cross-Defendants then assert "[b]ut for the substance of TPG's and SBRK's representations they would not have been sued." (SS No. 26.) This statement is not supported by the evidence presented. However, the Third Amended Complaint supports the conclusion. The breach of contract claims alleged in the Complaint (and discussed in the separate MSJ) are based on TPG and SBRK's failure to disclose the sublease as required by the BPA and RPSA and corresponding failure to deliver the business and property as promised. (TAC ¶¶42-44; 49; 54; 96.) The TAC does not mention moving parties whatsoever. TPI does not seek recovery against TPG or SBRK for any actions related to Refahiat or Station Sales.

TPG and SBRK's appear to argue: we are only being sued because the sale agreements went south and we only entered into the sales agreements because Refahiat and Station Sales misrepresented things to us. This logic doesn't hold. TPG and SBRK's argument completely ignores their own role in the breakdown of the sale. Cross-Defendants present evidence TPG disclosed the previously undisclosed sublease in April 2022 despite previously asserting they were selling the assets free and clear of all liens and encumbrances. (SS Nos. 19, 21.) TPI refused to acknowledge the sublease. (SS No. 23.) As a result, the sale did not happen. (SS No. 24.) TPG and SBRK do not dispute those points. This meets Cross-Defendants' initial burden to demonstrate Cross-Complainants cannot prove damages under this theory. In Opposition, Cross-Complainants do not offer any evidence to show a triable issue of material fact.

Since Cross-Defendants have met their initial burden to demonstrate Cross-Complainants cannot establish the element of damages for their claims and Cross-

Complainants have not provided any evidence to establish a triable issue of material fact, the motion must be granted as to the first, second, third, fourth, fifth, and eighth causes of action.

Declaratory Relief

Cross-Complainants seek a judicial declaration that the purchase sale agreements are either void for fraud, misrepresentation, and/or mistake or terminated and unenforceable. Cross-Defendants argue they are improper defendants to this cause of action because they are not parties to the agreements. If the court made such a declaration it would settle the claims between the buyer and seller. Cross-Defendants are neither. That fact is undisputed. (SS No. 181.) Cross-Defendants have met their initial burden and Cross-Complainants have not offered any evidence in Opposition.